

TUTORIAL 1

Trading Framework Series for Students

Market Regime First

How to choose the right strategy before choosing an entry

Purpose

Students learn to classify the chart before acting: scalping, breakout/momentum, trend following, or buy-and-hold. This turns chart reading into a repeatable decision process instead of a reaction to candles.

Prepared for student use. Built from the May 13, 2026 lesson transcript and supplemented with current external references verified May 15, 2026.

This tutorial is for education and process-building. It is not a recommendation to buy, sell, short, use margin, or trade any specific security.

Quick Reference

Use this page before opening a chart. The detailed explanations and worksheet follow.

Concept	Student meaning	Use in practice
Regime	The current behavior of price: range, breakout, trend, or long-term thesis.	Label the chart before marking entries.
Strategy fit	A trade idea only makes sense if the market condition supports it.	Do not use a breakout plan inside a dead range.
Confirmation stack	Structure + time frame + VWAP/MA context + risk filter.	Require multiple independent clues before acting.
Invalidation	The condition that proves the idea wrong.	Every trade plan must have this before entry.

REGIME FIRST -> STRATEGY SECOND

Range / mean reversion

Scalp

Compression -> expansion

Breakout

Directional movement

Trend follow

Long-term thesis

Buy & hold

The Lesson in Professional Language

The core instruction from the session was simple: before every chart, ask which of the four strategies applies. The student named scalp, breakout/momentum, trend following, and buy-and-hold; the instructor reinforced that every chart starts with that classification.

This matters because indicators do not decide strategy for the trader. The same moving average or VWAP line can mean different things in a range, a breakout, or a strong trend. Regime selection gives students a decision tree before they begin looking for entries.

Core rule

Regime first. Strategy second. Entry third. If the order is reversed, the student is usually reacting instead of planning.

The Four-Regime Map

Market condition	Strategy that fits best	What students should look for
Range / mean reversion	Scalping	Price repeatedly rejects the top and bottom of a well-defined micro range.
Compression then expansion	Breakout / momentum	Price clears structure, holds outside the range, and shows follow-through.
Clean directional movement	Trend following	Higher highs and higher lows, or lower highs and lower lows, with pullbacks holding key levels.
Long-term conviction	Buy-and-hold	A longer thesis based on fundamentals, macro view, and position sizing rather than intraday candles.

The most important teaching point is not that one regime is better than another. It is that each regime demands different behavior. A scalper wants edges inside a range; a breakout trader wants price to leave the range and prove it can stay outside; a trend follower waits for pullbacks to hold; an investor accepts a wider time horizon and different risk model.

Professional Workflow

Step 1 - Identify structure

Mark the obvious horizontal levels, trend lines, and compression zones. Do not mark entries yet.

Step 2 - Classify the behavior

Ask whether price is ranging, breaking out, trending, or building a long-term thesis. If you cannot answer, the correct classification is no trade yet.

Step 3 - Choose one strategy only

Students should not switch from scalp to breakout to investment in the same trade just because the trade is losing. Decide the strategy before entry.

Step 4 - Add context tools

Use VWAP, anchored VWAP, and moving averages as context tools. Fidelity and StockCharts materials are useful complements because they give neutral definitions for support/resistance and moving averages without turning them into automatic signals.

Step 5 - Define invalidation

Write the condition that would prove the strategy choice wrong. Example: "This is not a breakout if price closes back inside the prior range on the higher time frame."

Common Student Mistakes

- Entering first and only later deciding whether it is a scalp or trend trade.
- Calling every green candle a breakout without asking whether price has actually left structure.
- Using moving averages as signals instead of context.
- Changing the strategy mid-trade to avoid admitting the original idea failed.
- Ignoring the time frame: a chart can look bullish on five minutes while still being weak on a higher time frame.

Practice Drill

Give students ten unlabeled charts. They must mark only the regime at first: range, breakout, trend, or long-term hold. They are not allowed to draw entries until every chart has a strategy label and invalidation statement.

Grading standard

A correct answer is not "bullish" or "bearish." A correct answer is: "This is a breakout attempt because price is leaving structure; I need confirmation by a clean close and retest."

Student Worksheet

What regime is the chart in right now?

Which of the four strategies fits this regime best?

What evidence supports that classification?

What evidence would prove the classification wrong?

Which tools will you use only after the strategy is chosen?

What should the student avoid doing on this chart?

Review rule: A worksheet is complete only when the student can explain the trade idea, the invalidation, and the reason the chosen strategy fits the current regime.

Sources and Further Study

Session source. May 13, 2026 transcript: strategy list and every-chart checklist at 1:15:23-1:15:43; four-regime reinforcement at 1:29:02-1:30:33.

External sources. These were selected to add neutral definitions, risk context, and professional vocabulary to the lesson. Use them as assigned readings, not as trade signals.

[S1] Fidelity Learning Center: [What Is Support and Resistance?](#)

How to use it: Use for neutral language on support/resistance and the role reversal concept after a level breaks.

[S2] StockCharts ChartSchool: [Moving Averages - Simple and Exponential](#)

How to use it: Use for basic definitions of SMA/EMA and how moving averages can support trend direction and support/resistance teaching.

[S3] StockCharts ChartSchool: [Technical Analysis](#)

How to use it: Use to explain that technical analysis is probabilistic and based on past price action, not absolute prediction.

Important

Technical tools are context tools, not guarantees. Each student should paper-trade the workflow, record outcomes, and review losses before risking real capital.